TRADE WITH JOREEM

JOREEM LEARNING SERIES • PLAYBOOK 03

4-STEP SMC

TRADING STRATEGY

Structure • Premium / Discount • Liquidity • Demand

4 CONFLUENCES	1:2 EXAMPLE	MULTI-TIMEFRAME

Copy the checklist — then test it independently before taking risk.

EDUCATIONAL ONLY • TRADING INVOLVES RISK • NO RETURNS ARE GUARANTEED



THE FOUR-CONFLUENCE PLAYBOOK

Each step answers a different question; a setup needs all four.

01

Market structure

What is the prevailing impulse, and where is the next logical structural objective?

DIRECTION

02

Premium / discount

Has the pullback reached at least the 0.5 level of the defined swing range?

LOCATION

03

Liquidity

Has price swept the relevant trendline, range or swing-low liquidity?

EVENT

04

Demand

Has order flow created a valid demand area and a structure-shift entry location?

EXECUTION

KEY TAKEAWAY Structure gives the story. The other three confluences help time the next impulse.

STEP 01 • MARKET STRUCTURE

Define the parent trend and the pullback you want to trade out of.

01

DIRECTION BEFORE ENTRY

TRADE THE NEXT IMPULSE

The bullish model identifies higher highs and higher lows, then looks for the pullback to end before the next potential higher high.

1. Map the impulse and pullback
2. Define the swing low and high
3. Use lower timeframes for refinement



IMPULSE → PULLBACK → POTENTIAL CONTINUATION

READ STRUCTURE OBJECTIVELY

The example begins on the daily chart with a clear bullish sequence.

1. **Bullish sequence**
   Higher highs and higher lows establish the source model's directional bias.

2. **Pullback phase**
   Between impulses, price retraces; the task is to identify when that phase may be complete.

3. **Objective**
   The strategy seeks the next bullish impulse toward a potential new higher high — not a guaranteed target.

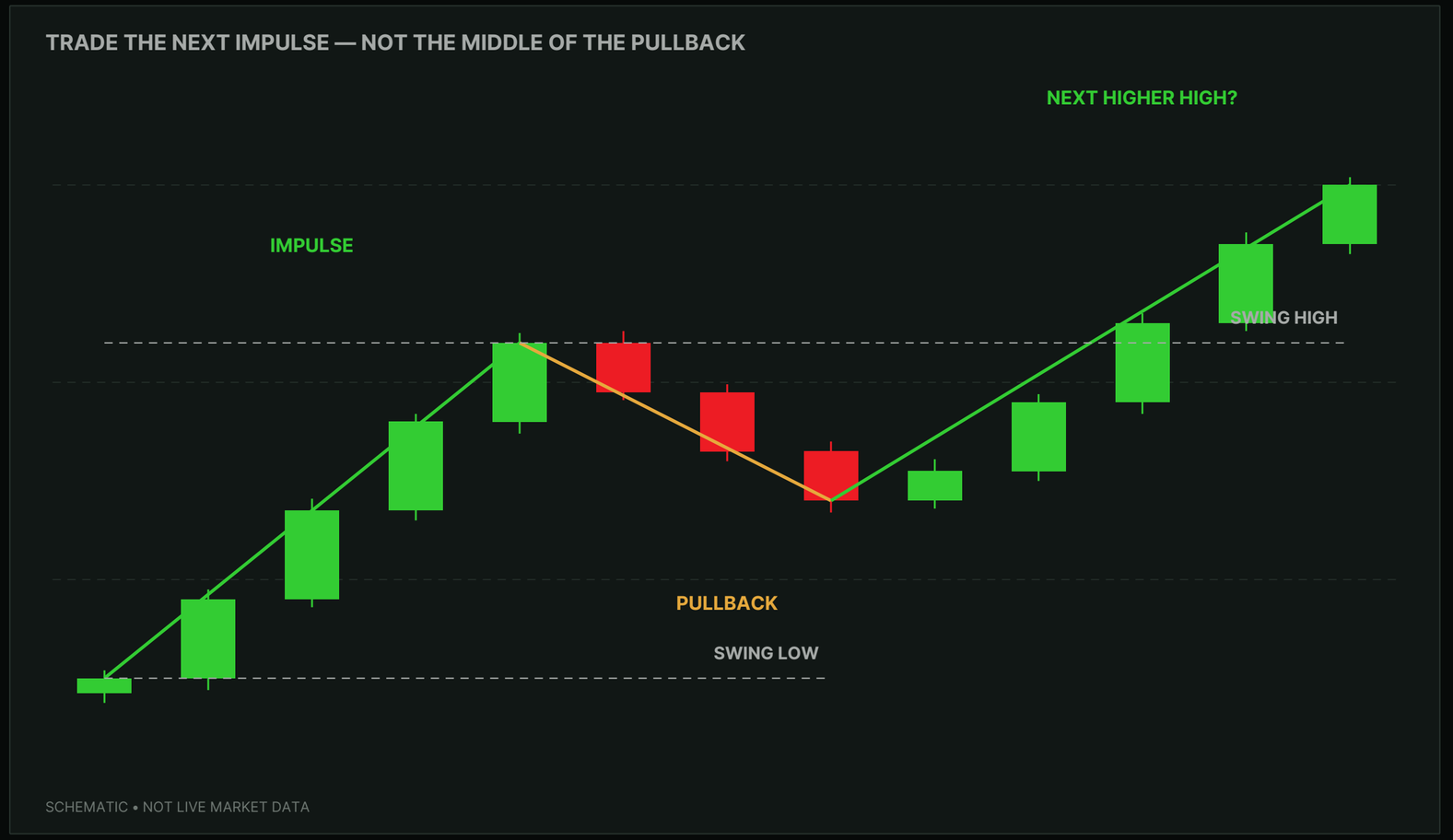
THE ENTRY BELONGS INSIDE THE PULLBACK, WITH RISK DEFINED BEFORE CONTINUATION.





MAP THE DAILY SWING RANGE

Mark the overall low and high, then refine the same movement on the four-hour chart.



THE PARENT MAP

1. **Swing low**
   Anchor the beginning of the bullish impulse.

2. **Swing high**
   Anchor the end of that impulse and the start of the retracement.

3. **Pullback zone**
   The next three confluences help assess whether this phase is ending.

The diagram is bullish because the supplied strategy examples are bullish.

STEP 02 • PREMIUM VS DISCOUNT

Use a simple Fibonacci range to qualify the depth of the pullback.

02

LOCATION FILTER

WAIT FOR THE 0.5 RETRACEMENT

The source keeps only 0, 0.5 and 1, then looks for the pullback to reach at least the midpoint before considering continuation.

1. Use the defined impulse range
2. Keep settings simple
3. Treat 0.5 as a filter, not a trigger



0 • 0.5 • 1 — EQUILIBRIUM AS A FILTER

KEEP PREMIUM / DISCOUNT SIMPLE

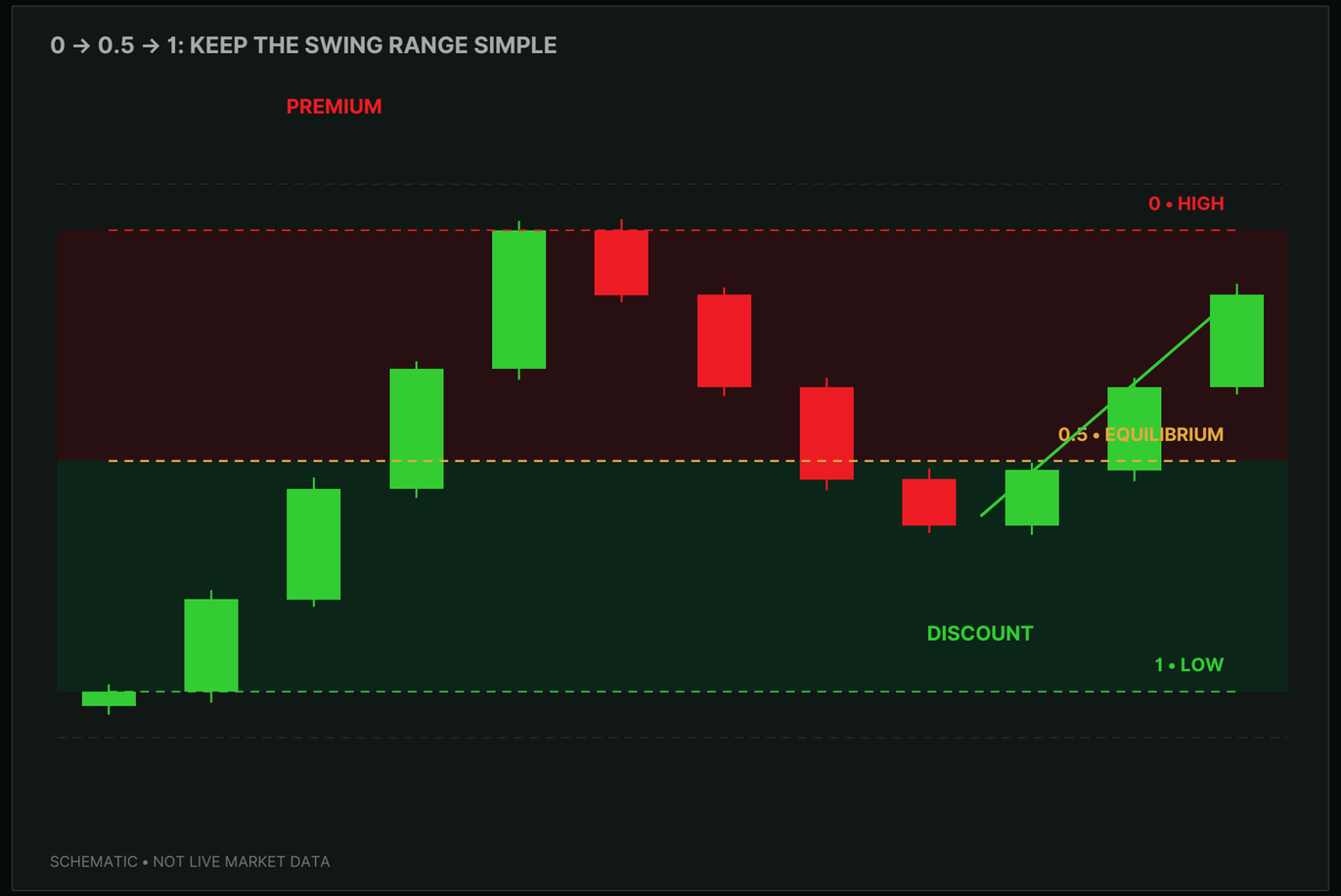
The Fibonacci tool is used as a location framework, not as a complete entry system.

1. **Settings**
   The source uses 0, 0.5 and 1, with background off and prices / levels not reversed.

2. **Minimum depth**
   The bullish pullback should retrace to at least 0.5 of the selected impulse.

3. **No blind entry**
   Reaching discount does not prove the pullback is over; liquidity and demand still need to align.

DISCOUNT ANSWERS “WHERE?” — NOT “WHEN?”



STEP 03 • LIQUIDITY

Look for a sweep inside the parent impulse before continuation.

03

THE THIRD CONFLUENCE

IDENTIFY WHAT PRICE TAKES OUT

The strategy maps liquidity below ascending lows, below a sideways range or beneath an overall swing low.

1. Find liquidity within the impulse
2. Drop a timeframe if needed
3. Wait for the sweep, then reassess



TRENDLINE • RANGE • SWING LOW

THREE LIQUIDITY PATTERNS

All three focus on lows that may be taken before the bullish continuation.

1. **Trendline liquidity**
   Ascending lows inside the impulse; the source pays special attention to the first low in that sequence.

2. **Range liquidity**
   A sideways patch with liquidity assumed beneath its cluster of lows.

3. **Swing-low liquidity**
   A larger, obvious low whose break can form the liquidity event.

MARK LIQUIDITY INSIDE THE PARENT IMPULSE — THEN WAIT FOR THE SWEEP.

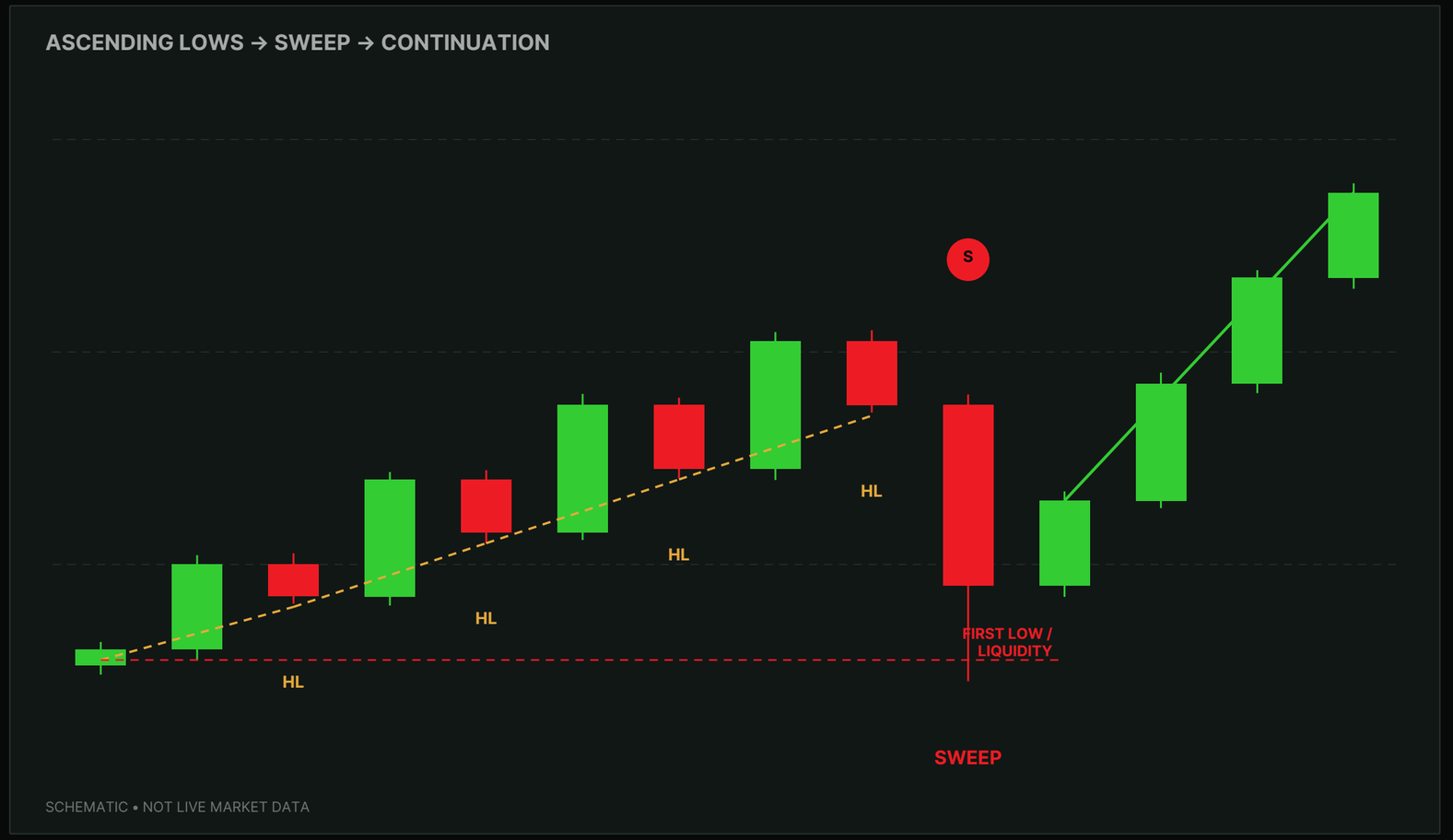






TRENDLINE LIQUIDITY IN PRACTICE

If the sequence is unclear on the parent timeframe, the source drops to the one-hour chart.



SEQUENCE TO WAIT FOR

1. **Map ascending lows**
   Confirm that they sit inside the overall bullish impulse.

2. **Mark the first low**
   The source uses it as the key trendline-liquidity reference.

3. **Observe the sweep**
   After lows are taken, look for the demand and structure-shift confluence.

A sweep alone is not the full entry signal in this four-step model.

STEP 04 • SUPPLY & DEMAND

Use order flow and a structure shift to define the actual entry area.

04

FROM LOCATION TO EXECUTION

THE SELL BEFORE THE BUY

The source marks the overall sell-down before the buy-up that breaks structure, then waits for a refined demand zone after the shift.

1. Connect with broad order flow
2. Wait for the bullish shift
3. Use the new demand on the retest



ORDER FLOW → SHIFT → DEMAND RETEST

START WITH BROAD ORDER FLOW

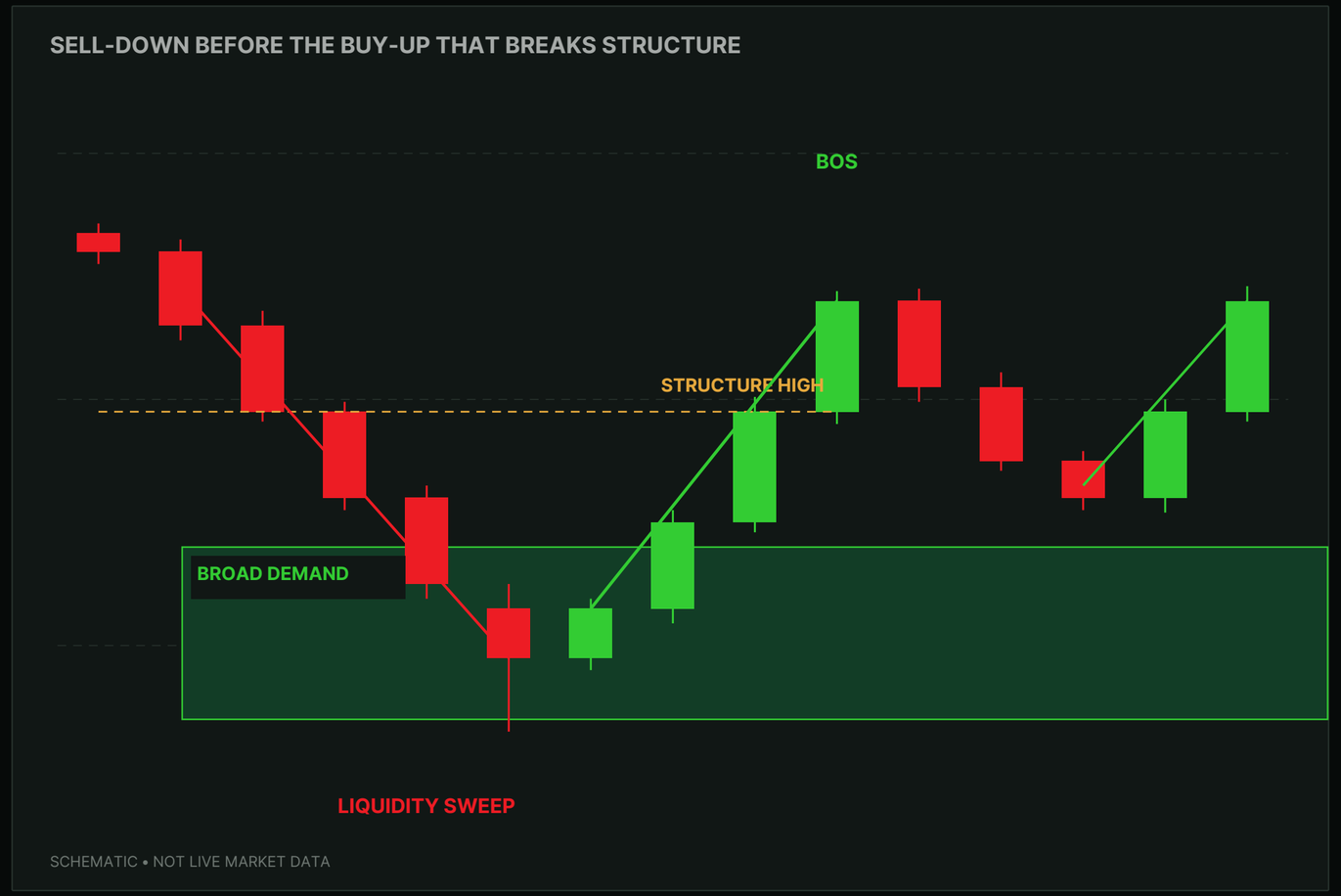
The market is imperfect, so the first demand area is intentionally broader than a single-candle label.

1. **Find the sell-down**
   Mark the overall decline that immediately precedes the strong buy-up.

2. **Require the break**
   That buy-up should cause the relevant market-structure break.

3. **Connect, then refine**
   The broad area establishes contact with demand; the later shift creates the specific entry zone.

STRONG DEMAND IN THIS MODEL OFTEN INCLUDES A LIQUIDITY SWEEP.



REFINE DEMAND AFTER THE SHIFT

The second half of zone identification is waiting for the structure-shift event.

01

Connect with the broad area

Price reaches the overall sell-down before the structure-breaking buy-up.

02

Wait for bullish order flow

A sweep and strong push upward create the shift and a new sell-before-the-buy.

03

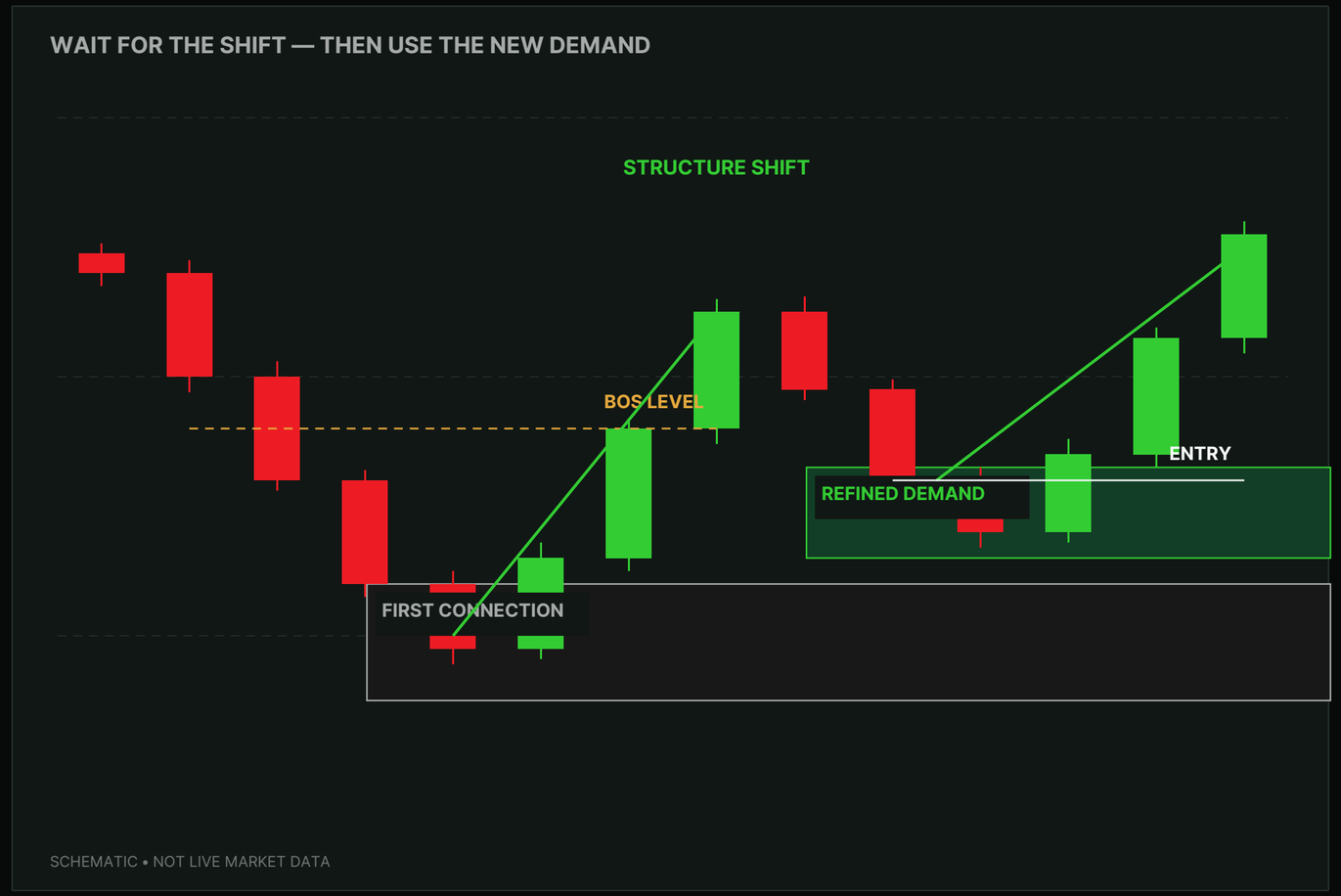
Mark the refined demand

Use the new demand area formed by that shift rather than forcing the original broad zone.

04

Enter on the retest

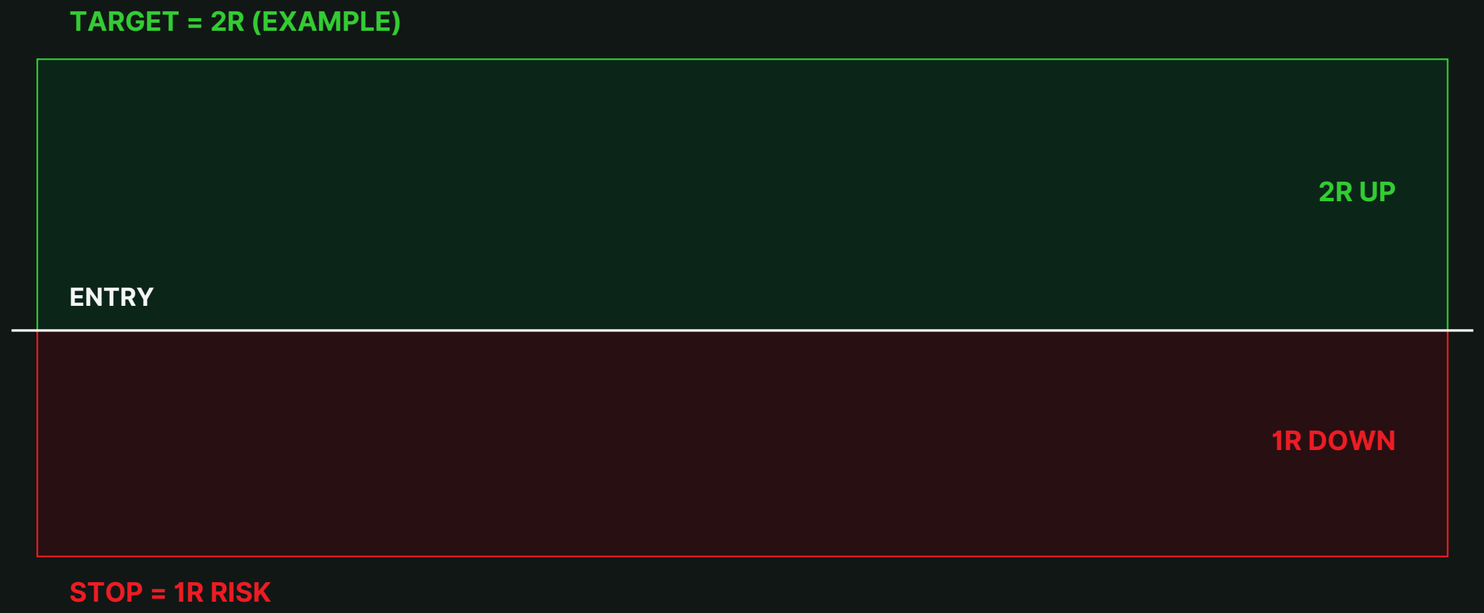
The source enters at the top of demand and places the stop beneath the zone.



THE MECHANICAL 1:2 MODEL

Once all four confluences align, the source uses a fixed two-to-one reward-to-risk illustration.

MECHANICAL RISK FRAME • EXAMPLE ONLY



A 2R TARGET DOES NOT GUARANTEE A WIN OR POSITIVE EXPECTANCY.

STRATEGY TICKET

ENTRY	Top of demand
STOP	Below demand / low
TARGET	2R
FILTERS	All four required
WIN RATE	Not supplied

A mechanical target makes the rule testable. It does not imply that the target will be reached or that the model is profitable without validation.

4H TO 1H: IMPULSE WITHIN AN IMPULSE

The second example nests a one-hour setup inside the parent four-hour bullish expectation.

4H • THE PARENT IMPULSE



SCHEMATIC • NOT LIVE MARKET DATA

1H • IMPULSE WITHIN THE IMPULSE



SCHEMATIC • NOT LIVE MARKET DATA

ALIGN THE LAYERS

1. **4H parent**
   Expect a potential continuation toward a new higher high.

2. **1H setup**
   Wait for the 0.5 retracement, demand connection and liquidity event.

3. **Execution**
   Enter at the defined demand, stop below the lows and apply the mechanical 2R target.

The source says “any timeframe”; robust testing should still be specific to market and timeframe.

COPY THE CHECKLIST – NOT THE OUTCOME

A setup is complete only when every confluence is present and the risk is defined.

Structure

Is the parent impulse bullish with a clear swing range?

Discount

Has the pullback reached at least the 0.5 level?

Liquidity

Has the relevant low or range been swept?

Demand

Has the shift created a refined demand retest?

Risk

Are entry, stop, size and 2R target mechanical?

Evidence

Have you tested the rules instead of relying on payout claims?

KEY TAKEAWAY

If one confluence is missing, the checklist is incomplete. No checklist guarantees a payout.



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FOUR FILTERS. ONE PLAN.

This playbook is deliberately simple: read the parent structure, wait for discount, require the liquidity event and execute only from refined demand.

1. **Be specific**
   Use objective definitions for every swing, sweep and shift.
2. **Be selective**
   Do not substitute three strong confluences for four required ones.
3. **Be evidence-led**
   Backtest and forward-test before treating the model as a live strategy.

Trading can result in losses. These are schematic examples, not signals or performance claims. Test on demo, define risk in advance, and never trade money you cannot afford to lose.

CONTENT & IMAGE NOTES

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